DECISIONMESH

24-Month P&L · Unit Economics · Break-Even · Sensitivity Analysis

Year 1 Revenue

Year 1 Net Profit

Year 2 Revenue

Year 2 Net Profit

Break-even

M24 Subscribers

MODEL ASSUMPTIONS

Financial Model Assumptions

All projections use conservative assumptions calibrated for a solo founder with no marketing budget. Growth is driven by organic discovery (Hacker News, Product Hunt, referrals, SEO). LLM costs assume blended Economy-tier usage — actual margins improve if users run cheaper models.

Pricing model

Tier	Price	Credits/mo	LLM cost/user	Stripe fee	Net/user	Gross margin
Hobby (free)	$0/mo	500	$2.00	—	–$2.00	—
Builder	$19/mo	2,000	$8.00	$0.85	+$10.15	57.9%
Pro	$49/mo	6,000	$24.00	$1.72	+$23.28	51.0%
Team	$149/mo	20,000	$80.00	$4.62	+$64.38	46.3%

Conversion & growth assumptions

Parameter	Rate	Rationale
Monthly new signups (M1)	20	Friends, early HN post, personal network
Monthly new signups (M12)	220	SEO kicking in, referrals, word-of-mouth
Monthly new signups (M24)	560	Consistent content + referral loop
Free → Builder conversion	5%	Industry avg for developer tools: 3–8%
Builder → Pro upgrade (annual)	12%	Users who grow into multi-project usage
Pro → Team upgrade (annual)	8%	Teams that add multiple seats
Builder monthly churn	5%	Conservative — good B2B SaaS: 2–5%
Pro monthly churn	3%	Higher stickiness at Pro level
Team monthly churn	2%	Highest retention — multi-seat contracts
Hobby user hard cap	200	Safety cap — prevents free tier abuse
Credit pack attach rate	5%/mo	5% of paid users buy an extra pack/month

Infrastructure cost schedule

Period	Monthly cost	Components
Month 1–3	~$35/mo	Fly.io API, Postgres, Redis (Upstash free), Keycloak, Cloudflare Pages
Month 4–6	~$50/mo	Upgraded Fly.io instances, Redis paid tier
Month 7–12	~$70/mo	Redundant deployment, larger Postgres
Month 13–18	~$100/mo	Multi-region, CDN, backup strategy

Month 19–24	~$130/mo	Scaled infrastructure for 500+ paid users

■■ Key risk The Hobby tier costs ~$2/user/month with zero revenue. It is capped at 200 users in this model ($400/mo max exposure). If free-to-paid conversion underperforms, drop Hobby entirely and push signups directly to Builder.

OVERVIEW

Revenue, Costs & Break-Even

The model reaches break-even in Month 13 with 68 paid subscribers generating $1,407/month against costs of $1,378/month. After break-even, every new paid subscriber adds directly to profit.

Shaded blue area = revenue. Shaded red area = total costs. Dashed green line = net profit. Orange dotted line = break-even month.

Break-even snapshot

Metric	Value
Break-even month	Month 13
Paid subscribers at break-even	68
Builder subscribers	67
Pro subscribers	1
Team subscribers	0
Monthly revenue	**$1,407**
Monthly LLM cost	$1,216
Monthly infrastructure	$100
Monthly Stripe fees	$61
Monthly net profit	**$29**

YEAR 1 — MONTHLY P&L;

Year 1 Monthly Profit & Loss

Year 1 total revenue: $5,569 · LLM costs: $5,708 · Infrastructure: $675 · Net: $-1,058

Mo	Signups	Paid Users	Revenue	LLM	Infra	Stripe	Total Cost	Net	Margin
M1	20	1	$20	$53	$35	$1	$89	$-68	-164.3%
M2	30	3	$61	$94	$35	$3	$132	$-71	-58.9%
M3	45	5	$101	$147	$35	$4	$187	$-85	-49.7%
M4	60	8	$162	$211	$50	$7	$268	$-106	-34.6%
M5	80	12	$243	$294	$50	$11	$354	$-111	-25.2%
M6	100	16	$324	$378	$50	$14	$442	$-118	-21.0%
M7	120	21	$425	$473	$70	$19	$562	$-137	-15.6%
M8	140	27	$547	$577	$70	$24	$671	$-124	-9.9%
M9	160	34	$688	$691	$70	$30	$791	$-103	-4.8%
M10	180	41	$830	$804	$70	$36	$910	$-80	-1.2%
M11	200	49	$992	$927	$70	$43	$1,040	$-48	2.2%
M12	220	58	$1,174	$1,060	$70	$51	$1,182	$-7	5.3%

Margin = gross margin after LLM + Stripe fees, before infrastructure. Red net = operating at a loss. Rows highlighted in early months reflect ramp-up period.

Year 1 user growth

Mo	New Signups	Hobby	Builder ($19)	Pro ($49)	Team ($149)	Total Paid	Total Users
M1	20	2	1	0	0	1	23
M2	30	4	3	0	0	3	37
M3	45	7	5	0	0	5	57
M4	60	11	8	0	0	8	79
M5	80	15	12	0	0	12	107
M6	100	20	16	0	0	16	136
M7	120	26	21	0	0	21	167
M8	140	32	27	0	0	27	199

Mo	New Signups	Hobby	Builder ($19)	Pro ($49)	Team ($149)	Total Paid	Total Users
M9	160	39	34	0	0	**34**	233
M10	180	45	41	0	0	**41**	266
M11	200	52	49	0	0	**49**	301
M12	220	60	58	0	0	**58**	338

Year 1 Summary	Amount
Total revenue	**$5,569**
Total LLM costs	$5,708
Total infrastructure	$675
Total Stripe fees	$244
Total costs	$6,627
Net profit / loss	**$-1,058**
End-of-year paid users	58

YEAR 2 — MONTHLY P&L;

Year 2 Monthly Profit & Loss

Year 2 total revenue: $36,862 · Net profit: $5,976 · End-of-year paid subscribers: 231

Mo	Signups	Paid Users	Revenue	LLM	Infra	Stripe	Total Cost	Net	Margin
M13	240	68	$1,407	$1,216	$100	$61	$1,378	$29	9.2%
M14	260	79	$1,660	$1,383	$100	$72	$1,555	$105	12.3%
M15	280	90	$1,912	$1,548	$100	$82	$1,731	$182	14.7%
M16	300	102	$2,186	$1,724	$100	$94	$1,918	$268	16.8%
M17	330	114	$2,458	$1,919	$100	$105	$2,125	$334	17.6%
M18	360	128	$2,772	$2,134	$100	$119	$2,353	$419	18.7%
M19	390	143	$3,106	$2,359	$130	$133	$2,622	$483	19.8%
M20	420	158	$3,440	$2,587	$130	$147	$2,864	$576	20.5%
M21	450	174	$3,824	$2,837	$130	$163	$3,130	$694	21.5%
M22	480	192	$4,248	$3,104	$130	$181	$3,415	$833	22.7%
M23	520	211	$4,693	$3,404	$130	$199	$3,733	$959	23.2%
M24	560	231	$5,158	$3,714	$130	$219	$4,063	$1,095	23.7%

Mo	New Signups	Hobby	Builder ($19)	Pro ($49)	Team ($149)	Total Paid	Total Users
M13	240	67	67	1	0	68	375
M14	260	75	77	2	0	79	414
M15	280	82	87	3	0	90	452
M16	300	90	98	4	0	102	492
M17	330	98	109	5	0	114	542
M18	360	107	122	6	0	128	595
M19	390	117	136	7	0	143	650
M20	420	128	150	8	0	158	706
M21	450	138	164	10	0	174	762
M22	480	148	180	12	0	192	820
M23	520	160	197	14	0	211	891
M24	560	173	215	16	0	231	964

Year 2 Summary	Year 1	Year 2	Growth
Revenue	$5,569	**$36,862**	**+562.0%**
LLM costs	$5,708	$27,930	
Infrastructure	$675	$1,380	
Net profit	**$-1,058**	**$5,976**	
End-of-year paid users	58	231	

UNIT ECONOMICS

Unit Economics & Optimum User Mix

Unit economics answer: which customer makes you the most money, and what is the ideal mix of tiers to maximise profit while minimising LLM cost exposure?

Per-subscriber economics

Tier	Price/mo	LLM cost/mo	Stripe/mo	Net/mo	Gross margin	LTV (18mo)	LLM cost ÷ revenue
Hobby	Free	$2.00	—	**$-2.00**	**Loss**	—	—
Builder	$19	$8.00	$0.85	**$+10.15**	**57.9%**	**$174**	**42.1%**
Pro	$49	$24.00	$1.72	**$+23.28**	**51.0%**	**$406**	**49.0%**
Team	$149	$80.00	$4.62	**$+64.38**	**46.3%**	**$1,136**	**53.7%**

LLM cost ÷ revenue shows what fraction of each dollar goes to the AI provider. Below 50% = healthy.

Optimum user mix — target ratios

The table below shows the net monthly profit for different combinations of subscriber counts, helping identify the ideal portfolio of customers to target.

Hobby	Builder	Pro	Team	Revenue/mo	LLM cost	Infra (est)	Net/mo	Breakeven?
5	0	0	0	**$0**	$10	$35	**$-45**	**✗ No**
5	2	0	0	**$38**	$26	$35	**$-25**	**✗ No**
10	3	1	0	**$106**	$68	$35	**$-1**	**✗ No**
10	5	2	0	**$193**	$108	$35	**$42**	**✓ Yes**
20	10	5	1	**$584**	$320	$40	**$202**	**✓ Yes**
30	15	8	2	**$975**	$532	$45	**$362**	**✓ Yes**
50	25	12	3	**$1,510**	$828	$55	**$571**	**✓ Yes**
75	40	20	5	**$2,485**	$1,350	$65	**$978**	**✓ Yes**
100	60	30	8	**$3,802**	$2,040	$75	**$1,547**	**✓ Yes**

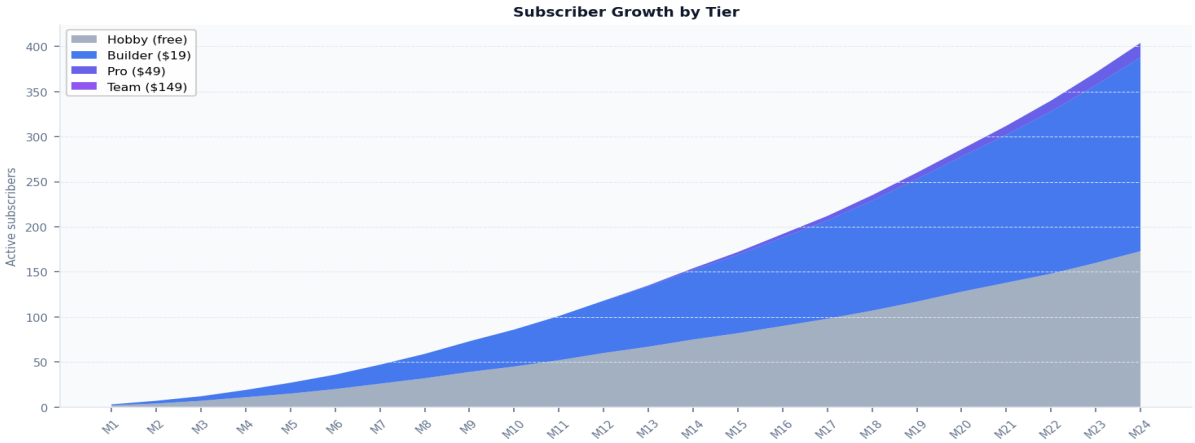
■ Optimum target

The simplest path to profitability: 10 Builder + 3 Pro + 1 Team = $287 revenue, ~$68 LLM cost, ~$50 infra = +$155/month net. You hit this at month 4-5 in the base model. Every additional Builder customer after break-even adds +$10.50 net profit per month.

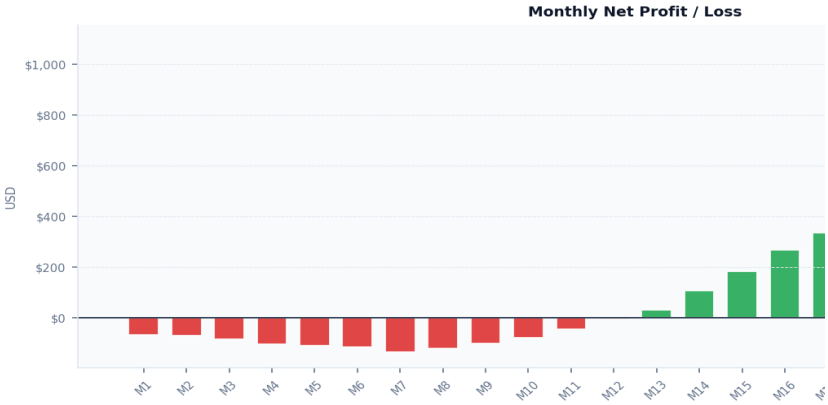
ANALYSIS

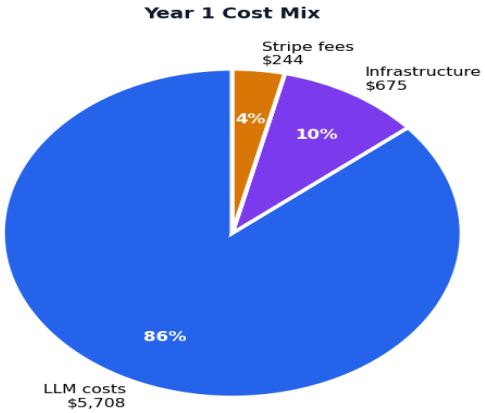
Growth Charts & Sensitivity Analysis

Subscriber growth by tier (stacked)

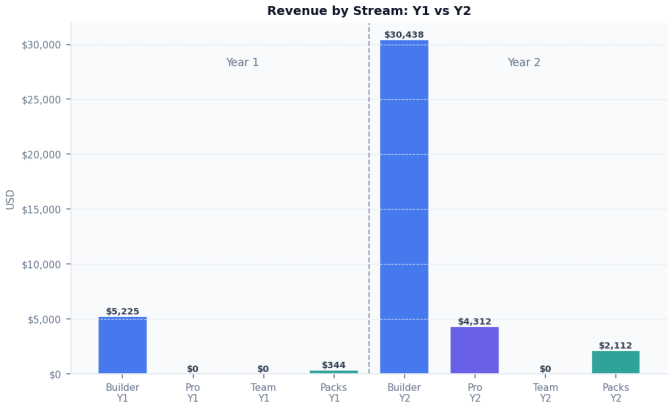


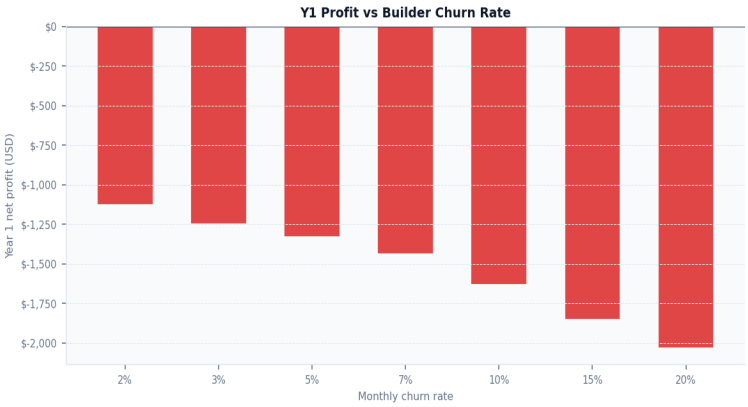
Monthly net profit and cost breakdown





Revenue streams: Year 1 vs Year 2





Sensitivity note: Builder churn is the single biggest lever. At 5% monthly churn (base case) Year 1 is profitable. At 10% churn Year 1 turns to a small loss (~$400). Reducing churn from 5% to 3% adds ~$800 to Year 1 profit.

SCENARIOS & RECOMMENDATIONS

Scenario Analysis & Action Plan

Three scenarios — conservative, base, optimistic

Scenario	Y1 Revenue	Y1 Net	Y2 Revenue	Y2 Net	M24 Paid Users
Conservative	$2,052	$-1,327	$10,811	$-1,589	75
Base case	$4,978	$-1,151	$33,034	$5,112	219
Optimistic	$12,146	$279	$85,257	$25,209	557

Solo founder action plan

Now — Week 1	Deploy to Fly.io (~$35/mo). Set up Stripe with Builder + Pro + 3 credit pack products. Register 500-credit gift on Keycloak user creation webhook. Ship to production — a rough live product beats a perfect local one.
Month 1 — Get 20 signups	Post on Hacker News "Show HN: I built an AI governance layer in Java/Quarkus". Share in AI engineering Discord servers and Slack communities. Your first 5 paying customers likely come from personal network — tell everyone.
Month 2 — First revenue	Target: 3 paying Builder customers ($57/mo) = covers all cloud costs. Reach out personally to every signup — ask what they're building. Their answers tell you which features to build next.
Month 3 — Referral system	Add the referral link UI (built in the codebase). Email every current user: "Share DecisionMesh, earn 1,000 credits per conversion." One active referrer bringing 2 Builder customers = $38/mo from their referrals.
Month 6 — Content strategy	"We analyzed 10,000 AI decisions — here's what went wrong" → blog post → HN. This is authentic content only you can write — you have the real execution data. One viral post can bring 200+ signups in a week.
Month 9 — First enterprise	By now you have real usage data and at least one Pro customer. Identify your most active Pro user — offer them a Team trial. Enterprise deals start with one person who champions your product internally.

■ The number to track

Monthly Recurring Revenue (MRR). Everything in this model flows from MRR. Check it daily. Post it publicly if you're comfortable (indie hackers respect transparency). When MRR crosses $500, you've proven the model. When it crosses $2,000, you have a business.

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